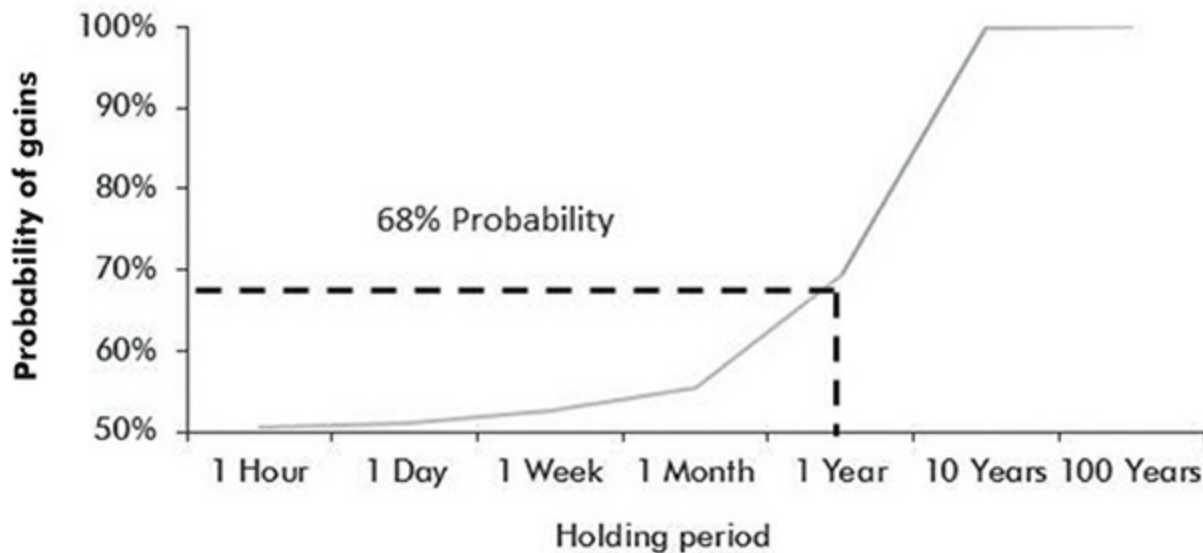


Exhibit 56: The probability of generating positive returns increases with the holding period for BSE Sensex



Source: Bloomberg, Ambit Capital

Note: Period under consideration is March 1987–March 2017. The investment horizons are calculated on a rolling basis and we are assuming that equity returns are normally distributed. During 1987–2017, the Sensex delivered a mean annual return of 14.5 per cent with a standard deviation of 28.6 per cent.

There are two ways to interpret this conclusion. Firstly, investors who do not have even a year of patience are likely to believe that ‘more often than not, people lose money in equity markets’. And secondly, as Benartzi and Thaler suggest, ‘myopia’ implies that the more frequently we evaluate our portfolios (and hence the shorter our investment horizon is), the more likely we are to see losses and hence suffer from loss aversion. Inversely, the less frequently investors evaluate their portfolios, the more likely they are to see gains.

Let us now understand how an increase in patience, i.e. holding period, beyond a year benefits investment returns disproportionately.

How patience affects returns for holding periods longer than one year